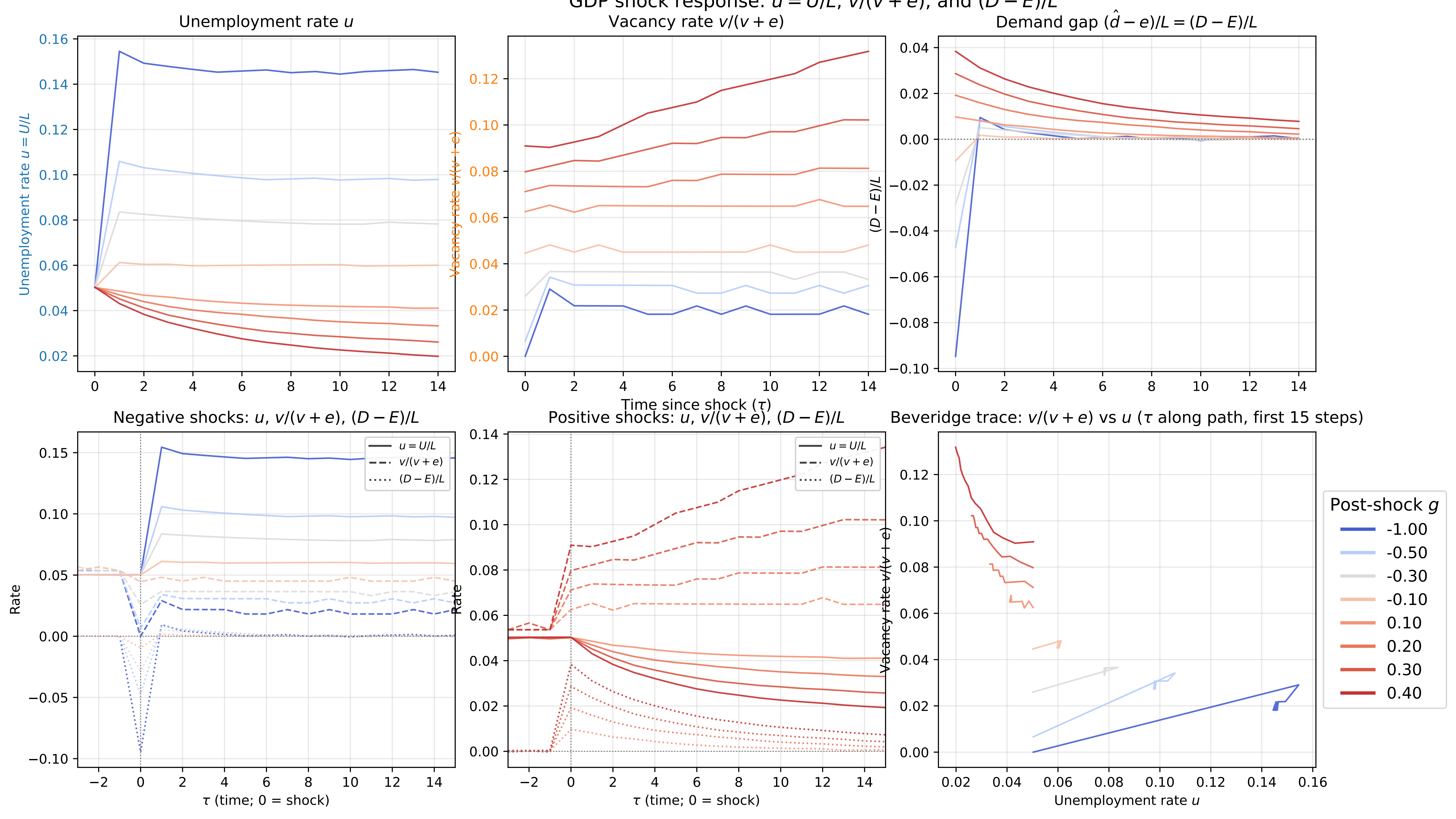
GDP shock response: $u = U/L$, $v/(v+e)$, and $(D-E)/L$
Unemployment rate u
Unemployment rate $u = U/L$
Vacancy rate $v/(v+e)$
Vacancy rate $v/(v+e)$
Demand gap $(\hat{d}-e)/L = (D-E)/L$
$(D-E)/L$
Time since shock (τ)
Negative shocks: u, $v/(v+e)$, $(D-E)/L$
Positive shocks: u, $v/(v+e)$, $(D-E)/L$
Beveridge trace: $v/(v+e)$ vs u (τ along path, first 15 steps)
$u = U/L$
$v/(v+e)$
$(D-E)/L$
Rate
τ (time; 0 = shock)
Vacancy rate $v/(v+e)$
Unemployment rate u
Post-shock g
-1.00
-0.50
-0.30
-0.10
0.10
0.20
0.30
0.40